QUARTERLY INVESTOR REPORT

Osprey Student Living | Salt Lake City, UT

Investment	Osprey Student Living
Quarter	3Q 2020
Report Date	May 5, 2022
Sponsor	Vireo Income Properties
Occupancy	93.3%

Investment Overview

The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Projected levered IRR is 3.8% with an equity multiple of 1.26x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Pre-leasing for the coming academic year stands at 89.9% with rental rates per bed averaging $1,008. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Projected levered IRR is 7.9% with an equity multiple of 1.17x over the hold period. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 4 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 35th business day. Service requests are tracked through a work-order system with an average completion time of 33 hours. Collections for the period were 90.0% of billed charges, with bad debt of 3.8% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. Pre-leasing for the coming academic year stands at 88.3% with rental rates per bed averaging $1,008. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Investor Distributions

Pre-leasing for the coming academic year stands at 94.4% with rental rates per bed averaging $1,008. Distributions to investors for the quarter were paid at an annualized rate of 6.2% on contributed capital. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Property Operations

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Service requests are tracked through a work-order system with an average completion time of 21 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day. The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

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Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Pre-leasing for the coming academic year stands at 89.9% with rental rates per bed averaging $1,008. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 4.4% on contributed capital. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Projected levered IRR is 5.7% with an equity multiple of 1.15x over the hold period. Pre-leasing for the coming academic year stands at 95.9% with rental rates per bed averaging $1,008.

Property Operations

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members.

Service requests are tracked through a work-order system with an average completion time of 39 hours. Pre-leasing for the coming academic year stands at 95.0% with rental rates per bed averaging $1,008. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Investment Overview

Pre-leasing for the coming academic year stands at 90.3% with rental rates per bed averaging $1,008. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The property is located 6 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Distributions to investors for the quarter were paid at an annualized rate of 7.2% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 10.5% with an equity multiple of 1.23x over the hold period. Pre-leasing for the coming academic year stands at 88.4% with rental rates per bed averaging $1,008.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Pre-leasing for the coming academic year stands at 91.2% with rental rates per bed averaging $1,008. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 92.9% of billed charges, with bad debt of 5.2% of gross potential income.

Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Projected levered IRR is 3.4% with an equity multiple of 1.42x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Pool resurfacing	Site	06/08/26	Q1 2027	$164,000	$37,382	Approved
Signage / monument	Life Safety	08/14/23	Q3 2026	$10,000	$67	Complete
Security camera upgrade	Energy	04/05/26	Q4 2026	$228,000	$173,608	Complete
Elevator modernization	Life Safety	10/07/26	Q1 2027	$116,000	$14,755	Approved
Amenity renovation	Building	05/13/25	Q3 2026	$252,000	$163,504	Complete
HVAC replacement	Building	06/19/25	Q4 2027	$606,000	$553,289	Deferred
Storefront glazing	Energy	02/03/24	Q3 2027	$898,000	$861,000	Bidding
Lobby renovation	Building	11/29/25	Q3 2025	$85,000	$7,343	Bidding
Fence replacement	Life Safety	02/24/26	Q1 2027	$522,000	$186,734	Bidding
Lobby renovation	Energy	03/22/26	Q4 2027	$198,000	$18,809	In progress
Elevator modernization	Site	04/19/24	Q2 2027	$741,000	$12,444	Approved
Fire alarm panel upgrade	Site	05/31/23	Q1 2025	$679,000	$439,459	Deferred
Exterior paint	Life Safety	11/03/26	Q1 2025	$253,000	$205,446	Approved
Landscape / irrigation	Interior	07/29/25	Q3 2025	$661,000	$470,756	Deferred
Door hardware	Life Safety	04/04/23	Q3 2025	$177,000	$108,485	Bidding
Security camera upgrade	Site	04/28/25	Q4 2026	$373,000	$364,112	Complete
Fence replacement	Interior	01/20/23	Q2 2025	$390,000	$198,996	Complete
HVAC replacement	Interior	11/01/23	Q2 2025	$297,000	$32,018	Approved
Elevator modernization	Interior	08/17/25	Q1 2025	$52,000	$17,260	In progress
Sewer line repair	Site	11/08/26	Q1 2027	$695,000	$127,954	Bidding
Security camera upgrade	Interior	08/17/26	Q4 2027	$673,000	$599,666	In progress
Lobby renovation	Energy	10/21/25	Q1 2026	$143,000	$5,151	Complete
Unit interior upgrades	Life Safety	03/25/23	Q2 2025	$10,000	$9,142	Bidding
Fence replacement	Building	12/20/24	Q3 2026	$131,000	$66,760	In progress
Pool resurfacing	Site	10/01/23	Q2 2027	$817,000	$23,211	Bidding
LED lighting retrofit	Building	05/18/26	Q3 2026	$517,000	$113,547	Complete
Pool resurfacing	Site	03/26/25	Q1 2027	$288,000	$15,963	In progress
HVAC replacement	Site	03/20/26	Q3 2026	$166,000	$22,018	Approved
Storefront glazing	Site	02/01/25	Q4 2025	$191,000	$114,274	Approved
Fire alarm panel upgrade	Site	04/16/24	Q4 2027	$257,000	$12,835	Approved
Landscape / irrigation	Energy	11/17/25	Q1 2026	$650,000	$373,586	Complete
HVAC replacement	Energy	10/06/24	Q3 2026	$575,000	$231,330	Approved
Sewer line repair	Interior	10/28/23	Q4 2025	$264,000	$136,622	In progress
Unit interior upgrades	Energy	02/26/25	Q3 2026	$870,000	$485,580	Approved
ADA compliance	Interior	04/25/26	Q1 2026	$202,000	$206,072	Bidding
HVAC replacement	Building	07/27/26	Q1 2025	$458,000	$387,558	In progress
ADA compliance	Building	03/13/25	Q1 2026	$825,000	$261,741	Complete
Water heater replacement	Life Safety	07/16/24	Q3 2026	$613,000	$138,898	Deferred
Fire alarm panel upgrade	Site	07/26/26	Q1 2027	$259,000	$21,102	Approved
ADA compliance	Interior	08/27/23	Q2 2025	$727,000	$526,362	Deferred
Fence replacement	Building	04/19/23	Q2 2027	$251,000	$85,606	Bidding

Report generated 05/05/2022. Figures are unaudited and subject to change.

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Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. Pre-leasing for the coming academic year stands at 88.4% with rental rates per bed averaging $1,008. The going-in capitalization rate of 6.61% reflects the in-place income and the stabilized occupancy assumption. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses.

Operating expenses totaled $476,000 or approximately 36.34 per square foot, with real estate taxes representing the largest line item. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.63x on a trailing basis against a covenant minimum of 1.20x. Pre-leasing for the coming academic year stands at 94.8% with rental rates per bed averaging $1,008.

Supply and Demand

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Investor demand for Student Housing assets in Salt Lake City remains strong with recent trades at capitalization rates between 6.30% and 6.30%. Median household income within a 6-mile radius of the property is approximately $48,000 and has grown 13.1% annually.

The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Rent growth in the submarket has averaged 4.4% annually over the past 12 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.10% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Effective gross income for the trailing period was $159,000, representing a 3.6% increase over the prior year. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 8.13% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $84,000 or approximately 16.39 per square foot, with real estate taxes representing the largest line item. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Pre-leasing for the coming academic year stands at 95.3% with rental rates per bed averaging $1,008. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Demographics and Employment

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Market vacancy for comparable Student Housing product stands at 5.2%, down from 5.5% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Investor demand for Student Housing assets in Salt Lake City remains strong with recent trades at capitalization rates between 7.80% and 7.80%. Median household income within a 3-mile radius of the property is approximately $21,000 and has grown 8.1% annually.

Pre-leasing for the coming academic year stands at 91.4% with rental rates per bed averaging $1,008. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Student Housing product stands at 4.7%, down from 5.3% two years ago. The Salt Lake City Student Housing market has experienced absorption of 3100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Student Housing assets in Salt Lake City remains strong with recent trades at capitalization rates between 7.19% and 7.19%.

Income and Expense Review

Debt service coverage ratio was 7.95x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $193,000, representing a 7.3% increase over the prior year. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period.

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Disclaimer and Confidentiality

This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Osprey Student Living and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This document relates solely to Osprey Student Living and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of UT. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Osprey Student Living and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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